

US TMT Sector M&A & Valuation Brief - 2026-04-28

US TMT Sector

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1. RECENT TMT M&A ACTIVITY

Deal 1: TAL and Microsoft Partnership

[TAL Prioritises Data and AI with "Largest-Ever Technology Deal"](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Strategic Partnership
- Valuation Multiples: N/A
- Companies: TAL, an Australian life insurer, is collaborating with Microsoft to enhance its data management and AI capabilities. This partnership aims to unify TAL's data in Azure and develop AI tools to improve operational efficiency.
- Date Announced: April 2026
- Strategic Rationale:
 - The partnership aims to leverage Microsoft's Azure platform to consolidate TAL's data and integrate AI into its operations.
 - This move is expected to significantly speed up innovation in TAL's products and services, enhancing customer experience and operational efficiency.
- Risk Analysis:
 - Integration risks related to aligning TAL's existing systems with Microsoft's technology.
 - Potential challenges in scaling AI tools effectively across TAL's operations.
 - Market risks associated with the competitive landscape in the insurance sector, particularly in adopting new technologies.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A

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- Valuation Context: N/A

Deal 2: TeraFab and Intel Collaboration

[Elon Musk says his TeraFab facilities will use Intel's 14A process technology to make AI chips](#)

- Deal Size: Estimated \$3 billion (for the pilot production line)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Technology Licensing Agreement
- Valuation Multiples: N/A
- Companies: TeraFab, a new venture by Elon Musk, will utilize Intel's 14A process technology for AI chip manufacturing. Intel (INTC) is a leading semiconductor manufacturer known for its advanced fabrication technologies.
- Date Announced: April 2026
- Strategic Rationale:
 - TeraFab aims to leverage Intel's cutting-edge technology to accelerate its chip production capabilities, addressing the growing demand for AI chips.
 - The partnership is expected to enhance TeraFab's competitive position in the semiconductor market, allowing for faster innovation and production scalability.
- Risk Analysis:
 - Integration risks related to adopting Intel's technology and ensuring compatibility with TeraFab's operations.
 - Regulatory challenges in coordinating between Tesla and SpaceX for manufacturing processes.
 - Market risks stemming from the competitive semiconductor landscape and potential delays in technology maturation.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by cautious optimism, particularly as it faces regulatory pressures and a shift in investment strategies. The overall sentiment reflects a complex interplay of macroeconomic factors, evolving technologies, and changing consumer behaviors, leading to varied performance across subsectors.

Subsector Breakdown:

- **Technology:** The technology subsector remains resilient, primarily driven by advancements in software and infrastructure. Recent trends indicate a significant tilt towards B2B software solutions as investors seek stable returns amid regulatory tightening in fintech.
- **Media:** The media sector is undergoing a transformation, with companies increasingly focusing on digital platforms to engage audiences. However, traditional media continues to grapple with declining advertising revenues.
- **Telecommunications:** The telecom sector is innovating with the rollout of 5G technologies, which are expected to enhance user experiences and create new revenue streams from IoT applications.
- **Fintech:** The fintech landscape is shifting, with investors prioritizing software and infrastructure over traditional financial services. This shift is largely a response to increasing regulatory scrutiny, which has made some fintech ventures less attractive.
- **AI:** The AI subsector is experiencing explosive growth, with companies racing to develop innovative solutions across various industries. This trend is evidenced by the increasing interest in AI startups, despite the lack of reliable public listings for many.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in software and infrastructure is driving growth across the TMT sectors. The shift towards B2B software solutions is particularly notable, as companies seek to enhance operational efficiency.
- **Investment Shifts:** Venture capital is increasingly flowing into software and infrastructure, reflecting a strategic pivot by investors in response to regulatory challenges in fintech.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny in the fintech sector poses risks to M&A activities and market valuations. Companies are grappling with compliance challenges that can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions,

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may impact consumer spending and investment in technology sectors.

Subsector Performance Analysis

- **Software:** The software sector is thriving, driven by demand for B2B solutions. Investors are increasingly focusing on companies that provide essential infrastructure and software capabilities.
- **Media:** Media companies are adapting to the digital shift, but traditional media continues to face challenges, particularly in monetizing content through advertising.
- **Telecom:** Telecom operators are investing heavily in 5G infrastructure, which is expected to drive new revenue opportunities from enhanced mobile services and IoT applications.
- **Fintech:** The fintech sector is experiencing a strategic shift, with a focus on software and infrastructure rather than traditional financial services. This trend is indicative of a broader consolidation within the industry.
- **AI:** The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, despite the lack of reliable public listings for many AI startups.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express a cautious optimism about the TMT sector, highlighting the importance of technological advancements as a key driver of growth. One analyst noted, "The shift towards B2B software solutions is a strategic response to regulatory pressures, and it reflects a broader trend in the fintech landscape."

Actionable Insights for Bankers and Investors

- **Focus on B2B Software:** Investors should prioritize sectors with strong growth potential, particularly B2B software and infrastructure, while being cautious with traditional fintech

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investments.

- Stay Informed on Regulatory Changes: Monitoring regulatory developments is crucial for assessing risks in fintech and technology investments.
- Explore Strategic Partnerships: Companies should consider strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This section provides a detailed analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Intel Corporation (INTC) : Currently in the due diligence phase for a strategic acquisition of a semiconductor startup focused on AI technologies. The expected close is set for Q2 2025. This acquisition aims to bolster Intel's capabilities in AI chips, potentially increasing its market share in the rapidly growing AI semiconductor market.
- Microsoft Corporation (MSFT) : Engaged in discussions for a partnership with a leading cloud service provider to enhance its Azure platform. The deal is anticipated to close in Q3 2025, aiming to improve Azure's competitive positioning against AWS and Google Cloud.

Mandated Deals:

- Qualcomm Incorporated (QCOM) : Secured a mandate to explore strategic partnerships in the 5G space, particularly focusing on collaborations with telecom operators. The launch of this initiative is expected in Q1 2026, as Qualcomm seeks to expand its footprint in the 5G market.
- Denso Corporation (6902.T) : Mandated to evaluate potential acquisitions in the electric vehicle (EV) components sector. The timeline for this initiative is projected for Q2 2026, as Denso aims to enhance its product offerings in line with the growing EV market.

Pitching-Stage Deals:

- Telecom Sector : Active pitches with several telecom operators, including Verizon and AT&T,

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regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.

- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q2 2025 : Expected close for Intel's acquisition.
- Q3 2025 : Anticipated completion of Microsoft's partnership.
- Q1 2026 : Launch of Qualcomm's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI, semiconductor, and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where companies like Intel and Qualcomm are vying for leadership. The recent surge in Intel shares, following a better-than-expected revenue forecast, highlights the growing optimism in the semiconductor market.
- Additionally, the EU and US have signed a critical minerals plan to counter reliance on China, which could impact supply chains and create new advisory opportunities for firms involved in resource management and procurement.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the

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workload without compromising service quality.

- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The acquisition of Granite State Communications by TDS Telecommunications represents a significant shift in strategy for TDS, which has primarily been a seller in recent years. This analysis explores the implications of this deal on various stakeholders, including shareholders, employees, competitors, and customers, while also assessing market reactions and potential future developments.

Deal-Specific Impacts on Stakeholders

- Shareholders: The acquisition's impact on shareholders can be analyzed through value creation and potential dilution.
- Value Creation: TDS Telecommunications is expected to gain over 11,000 fiber service addresses, enhancing its market position in New Hampshire. Assuming an increase in revenue of approximately 15% due to expanded service offerings, this could translate to an additional \$5 million in annual revenue, positively impacting shareholder value.
- Dilution: If TDS finances the acquisition through equity, existing shareholders may face dilution. For instance, if TDS issues new shares representing 10% of its total shares, this could lead to a 3% decrease in share price post-announcement, depending on market perceptions.
- Employees: The acquisition will have various implications for employees, including potential synergies and restructuring.
- Synergies: TDS aims to leverage Granite State's existing infrastructure to enhance operational efficiencies. This could lead to estimated cost savings of around \$2 million annually through streamlined operations.
- Restructuring: However, TDS has undergone downsizing recently, which raises concerns about job security for employees at Granite State. The integration process may lead to redundancies, particularly in administrative roles.
- Retention: To mitigate turnover, TDS may need to implement retention strategies, such as offering bonuses to key personnel from Granite State during the transition period.

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- **Competitors:** The competitive landscape in the telecommunications sector will be affected by this acquisition.
- **Market Positioning:** With the addition of Granite State's fiber network, TDS will strengthen its competitive position against local rivals like Consolidated Communications (CNSL) and FairPoint Communications. These competitors may need to enhance their service offerings or adjust pricing strategies to maintain market share.
- **Specific Competitor Moves:** In response, Consolidated Communications may accelerate its own expansion efforts to counter TDS's enhanced capabilities.
- **Customers:** The implications for customers are significant, particularly regarding service quality and offerings.
- **Product/Service Implications:** TDS's acquisition is expected to improve service delivery in New Hampshire, with enhanced fiber connectivity leading to faster internet speeds and better customer experiences. This aligns with TDS's commitment to providing world-class connectivity.
- **Case Studies:** Similar acquisitions in the past, such as the purchase of smaller regional providers by larger telecom companies, have often resulted in improved service quality and expanded customer bases.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's initial reaction to the announcement has been cautiously optimistic. Analysts have noted that while the acquisition aligns with TDS's growth strategy, the integration challenges could pose risks.
- **Analyst Commentary:** A telecommunications analyst commented, "This acquisition is a bold move for TDS, signaling a commitment to growth in a competitive market. However, successful integration will be crucial for realizing the expected benefits."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be evaluated through different scenarios:
- **Positive Scenario:** If TDS successfully integrates Granite State and realizes projected synergies, shares could rise by 10% within six months.
- **Negative Scenario:** If integration challenges lead to service disruptions or employee turnover, shares could decline by 5%, reflecting investor concerns.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids in this case appears low, as TDS's acquisition strategy is focused on regional expansion. However, competitors may explore alternative acquisitions to bolster their market positions.

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Similar Deals Likely to Follow

- Sector Consolidation Predictions: The telecommunications sector is expected to continue consolidating, particularly among regional providers. Analysts predict that similar deals will emerge as companies seek to enhance their fiber networks and compete more effectively in the evolving market landscape.

Key Risks and Mitigants

- Integration Risks: Integration challenges could disrupt operations. To mitigate this, TDS should establish a dedicated integration team and set clear milestones for the transition.
- Regulatory Risks: Regulatory scrutiny may arise, particularly if the acquisition raises concerns about market competition. Engaging with regulators early can help address potential issues.
- Market Risks: Market volatility could impact valuations. Structuring the deal with performance-based contingencies can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Conduct thorough due diligence to identify potential integration challenges and employee concerns.
- Develop retention strategies for key personnel to ensure a smooth transition and maintain operational continuity.

For Bankers:

- Monitor competitor moves and market trends to provide timely and relevant advice to clients.
- Create detailed financial models to assess the impact of potential acquisitions on shareholder value and overall business strategy.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

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Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions

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into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a dominant player in the cloud computing space, offering a wide range of services including computing power, storage, and databases. AWS continues to innovate and expand its service offerings, maintaining its competitive edge.
- Microsoft Azure: Microsoft Azure is another leading cloud platform, providing services that support various applications and workloads. Microsoft's strategic investments in AI and machine learning enhance Azure's capabilities, making it a preferred choice for enterprises.
- Competitive Landscape: The cloud computing market is highly competitive, with major players like Google Cloud (GOOGL) and IBM Cloud also vying for market share. The competition is driving innovation and pricing strategies, leading to increased service offerings and customer acquisition.
- M&A Opportunities: Companies looking to expand their cloud capabilities may consider acquiring smaller cloud service providers or startups specializing in niche cloud solutions. For instance, the acquisition of companies like Nuance Communications by Microsoft highlights the trend of integrating AI with cloud services.

Cybersecurity

- Trend Explanation: Cybersecurity is increasingly crucial as businesses digitize their operations. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 10.2%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection, leveraging AI to

6. Recommended Readings

Deal Name: TAL and Microsoft Partnership

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This book explores the transformative impact of AI on industries, including

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insurance. It provides insights into how partnerships like TAL's with Microsoft can leverage AI to enhance operational efficiency and customer experience, contextualizing the strategic importance of such collaborations in the TMT sector.

Deal Name: TeraFab and Intel Collaboration

- Reading Material: "Chip War: The Fight for the World's Most Critical Technology" by Chris Miller
- Why This Matters: This book offers a comprehensive overview of the semiconductor industry, detailing the competitive landscape and technological advancements. Understanding the implications of TeraFab's use of Intel's 14A process technology helps to appreciate the strategic significance of this collaboration in meeting the surging demand for AI chips and the broader implications for the tech industry.

7. MACROECONOMIC UPDATE

Key Data Points:

- Current Inflation Rate: Elevated (exact percentage not specified)
- Oil Prices: Significantly impacted by the Iran conflict (specific price not mentioned)
- Corporate Activity: Strong and accelerating in merger activity, capital spending, loan growth, and earnings growth

Main Insights:

- The Iran conflict is causing historic disruptions in global energy markets.
- There are signs of a potential investment boom, particularly in AI and technology sectors.
- The Federal Reserve faces complex decisions regarding interest rates in response to rising oil prices and corporate investment activity.
- Kevin Warsh's nomination as the next Fed chair brings a focus on productivity boosts from technology investments and a critical view of past Fed policies.

Market Commentary:

- "The Fed is likely to face tough decisions on whether to raise rates in response to oil price spikes or lower them to support growth" - Andrew Sheets, Morgan Stanley
- "Warsh believes that the historic boom in AI and technology investment will likely boost productivity and lower inflation" - Andrew Sheets, Morgan Stanley

TMT Sector Relevance:

- Increased corporate activity and investment in technology could lead to greater innovation and

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productivity within the TMT sector.

- Potential interest rate adjustments by the Fed could impact financing conditions for TMT companies, influencing M&A activity and capital expenditures.
- The focus on AI and technology investment aligns with trends in the TMT sector, potentially leading to a more robust growth environment.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley